

CHAPTER FIVE

PREPARING TO PURCHASE

At this point, you've probably decided whether or not you want to buy a house. You have taken a look at your current housing situation and the local market you live in, and you're better prepared to assess exit options when considering a home purchase. You know how to run the numbers, and you know when those numbers are good.

You have also probably thought to yourself, *Ugh, buying a house is hard.*

The good news is you're one-third of the way through this book, and you've made it through some of the more difficult concepts like appreciation and investment cash flow. The bad news is it's time to get personal and talk about your credit score and savings account. We couldn't put it off forever, could we?

To have the best odds of success when purchasing a home, you need to set yourself up in all the right ways. Finding a great home and buying it at the best possible price is all about laying the groundwork for that purchase. Because good deals are often gone within a few days of being listed, you need to prepare to act immediately when that perfect purchase pops up. There are five basic steps to laying that groundwork, which we'll cover in the following sections.

BRACE YOURSELF! (AND YOUR BANK ACCOUNT)

Buying a house costs money. What a shocking statement! When you're done gasping in surprise, let's break down the three things you need financially to make this big purchase.

Good credit